

The robots are coming... and this disruptor's leading the charge

Before we dive into this month's *Disruption_X*, a quick word on the volatility we're seeing in the markets. The Nasdaq is down 5% since peaking a week ago, and many former leaders are down 15%+.

We anticipated this volatility coming into the year, as Wall Street strategists were bullish, and it usually pays to be the opposite. It's also the first quarter of a new presidential cycle, which is historically one of the weakest three-month periods of the four-year cycle.

In short, this selloff is nothing to worry about. It's a buying opportunity to accumulate more of the fast-growing disruptors in our *Disruption_X* portfolio. And if you haven't invested yet, it's a great chance to buy them at a discount to where they were trading a few weeks ago.

Small, fast-growing disruptors are volatile. But their businesses can, and often do, sail through stormy seas.

Now, on to this month's issue: "The robots are coming... and this disruptor's leading the charge."

I had my first robotaxi experience in San Francisco a few months ago. Magical is the only word for it.

A white Jaguar Waymo pulled up with a spinning sensor on its roof that looked like a high-tech crown.

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I got in, and the screen welcomed me by name: *"Good afternoon, Stephen. Heading to The Interval at Long Now... This experience may feel futuristic... We'll do all the driving."* I pressed "start ride," and we were off.

It's surreal to see the steering wheel turn itself. The strangest part was the silence. No forced chitchat. Just the soft hum of the electric engine and the distinct feeling that I had arrived in the future.

When I took a regular Uber to the airport later, it felt like trading in my iPhone for one of those old Nokia bricks, back when Snake was *the* mobile game.

This was my "the future is here" moment. The robot revolution isn't some distant sci-fi fantasy. It's cruising down San Francisco streets right now, picking up passengers and dropping them off like it's no big deal.

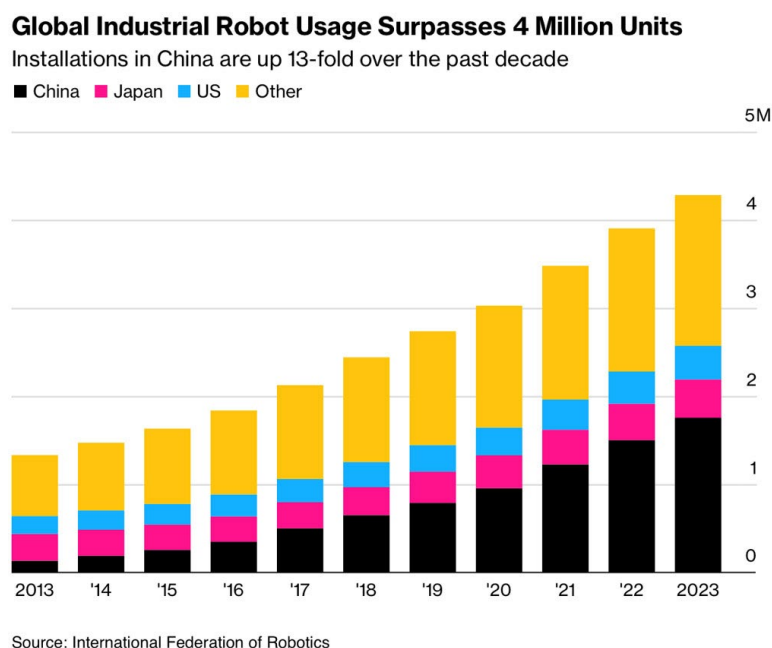
Self-driving taxis are just the visible tip of a massive wave of robotics innovation about to reshape *everything*.

2025 is the year of the robot. Time to buckle up...

AI gets arms and legs

There are now over 4.3 *million* machines in warehouses and factories globally.

As you can see, worldwide installations have jumped above half a million for three years running:



Source: International Federation of Robotics

But these aren't the versatile helpers we dreamed of. They're more like industrial savants—brilliant at one specific task, useless at everything else.

These robots are incredibly precise, but incredibly *dumb*. A robot arm can weld the same spot perfectly a million times. But move the target by an inch, and it's lost. Want it to do something new? That means weeks of reprogramming.

Good news. Robots just got a brain transplant, courtesy of artificial intelligence (AI). The ChatGPT moment for robotics is coming, and it's about to change everything.

Think about how you'd teach a child to fold laundry. You wouldn't hand them a thousand-page manual covering every possible way a shirt could be crumpled. You'd show them a few times, and they'd figure it out.

Until now, robots couldn't learn like this. They needed that thousand-page manual for *every* task.

Startup Physical Intelligence recently showed off a robot that can fold laundry. Previous bots needed explicit programming for every possible variation of a crumpled shirt.

Physical Intelligence's robot learned by watching videos of humans folding clothes. It can handle whatever messy pile of laundry you throw at it, figuring out the best approach on its own.

A robot *apprentice* mastering a skill by observation.

At Johns Hopkins University, researchers created a surgical robot that learned complex procedures simply by watching videos of human surgeons.

It not only matched human performance in tasks—like suturing and tissue manipulation—but performed them 30% faster. If the bot drops a needle, it automatically picks it up and continues without being specifically programmed to do so.

The secret behind these innovations is the same breakthrough that supercharged language models: the transformer.

Transformer algorithms allowed computers to not just read words one by one but understands the *context*. How each word relates to every other, predicting what comes next.

Just as ChatGPT understands the relationships between *words* to write coherent sentences, these new AI robots understand the relationships between *objects* and *actions* in the real world. They're gaining "physical intelligence."

I was in San Francisco last year talking with Bob McGrew, OpenAI's first chief researcher. He laid it out straight: "Robotics companies are now where AI language companies were five years ago. We're about to see the ChatGPT moment for robots."

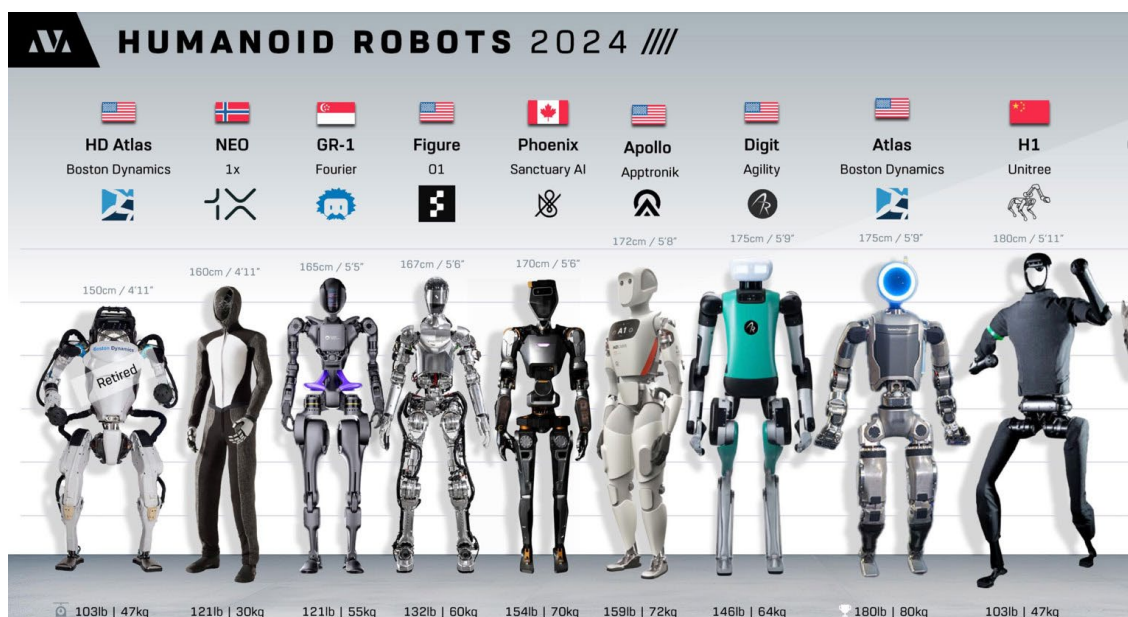
AI is giving robots real eyes that actually understand what they're looking at. Real brains that can figure things out on the fly.

These robots can then share what they learn. When one robot figures out a better way to do something, it can instantly teach every other robot in its network. Imagine thousands of surgical robots all learning from each other's experiences, getting better with every operation.

Robots won't look like humans

When most people hear "robot," they picture a shiny metal person shuffling around like C-3PO.

There are dozens of startups building humanoid robots today, each promising to create the perfect mechanical butler. Choose your droid!



Source: Made Visual

I'm bearish on humanoid robots. Nature spent billions of years evolving humans to walk on two legs and manipulate objects with five-fingered hands. That doesn't mean it's the best way to design a machine.

Why give a robot two legs when wheels might work better? Why copy our hands when a specialized gripper could do the job more efficiently?

Top venture capitalist Josh Wolfe nailed it recently, saying, "If you were designing a car today, you wouldn't give it Fred Flintstone's feet and stone wheels."

Designing robots to *look* like humans doesn't make sense. AI-powered robotics shouldn't resemble mechanical butlers that look like extras from a sci-fi movie.

(My partner and co-editor, Chris Wood, disagrees with this:

I'm not bearish at all on humanoid robots. Quite the opposite, in fact. I think they're going to be beyond huge. Not right for all markets and applications, but perfect for some.

They're mostly appropriate for service applications, like everyday chore bots and emotional and physical support for the elderly. In industrial settings, I totally agree with Stephen that the best efficiencies are gained from robots designed for specific jobs.

But even in factories and warehouse settings, humanoid robots can help fill the gap for an aging population and labor shortages in places designed for people to operate while next-generation, fully automated facilities are built out.)

Nvidia (NVDA) CEO Jensen Huang recently said, "Everything that moves will be robotic." I agree, and the revolution is already unfolding all around us.

Delivery drones humming overhead. Compact warehouse robots that can squeeze through narrow aisles. Robotic arms that can work alongside humans in restaurants and factories. Even unassuming robot vacuum cleaners, like Matic, are finally becoming genuinely effective home helpers.

A decade from now, purpose-built machines embedding AI and physical intelligence will seem as normal as smartphones are today.

The future has arrived

I was chatting with a hedge fund manager in London recently who told me about George Osborne, the former UK Chancellor, taking his first robotaxi ride in China. His reaction was the same as mine: "Holy cow, these things can actually drive!"

Self-driving cars didn't just get a little better lately. They took a *quantum leap* forward, and it's *all* because of AI.

Tesla's (TSLA) self-driving tech used to be like a student memorizing a massive rulebook. Yellow light, slow down. Spot a cyclist? Give them space. It memorized 300,000+ rules, which made the system brittle.

Tesla threw out the rulebook and replaced all that human code with an AI system. Instead of following rules, the car now makes decisions based on what it sees.

Tesla's self-driving tech improved 100X in 2024, measured by how often humans needed to take over the wheel. More progress in one year than the previous 10 combined!

As Tesla scales up its AI infrastructure, we'll see another huge leap forward. The skeptics who claimed self-driving cars were decades away are about to be humiliated.

Robotaxis will be the first widespread AI robots that change people's lives. If you live in or visit a city with robotaxis like Waymo, Zoox, Wayve (UK), Pony.ai (China), take a ride. Experience the future for yourself.

And self-driving cars are just the visible frontier of the robo-revolution.

Beneath the ocean's surface, Irish startup Ulysses is deploying teams of autonomous underwater drones—nicknamed “Robo Sharks”—to become marine gardeners. These underwater robots are planting seagrass, a vital ecosystem that captures carbon 35X more effectively than rainforests.

On land, precision-farming robots reduce herbicide use by 90%, their sensors detecting and treating individual weeds instead of spraying entire fields. Meanwhile, driverless tractors guided by satellites plow perfect rows through the night.

As Jensen said, “Everything that moves will be robotic.” Get ready for all kinds of weird and wonderful AI robots to enter our world.

Even robotic police dogs—like “Roscoe” in Massachusetts, which recently faced gunfire and likely saved human lives in a standoff.

Made in America 2.0

Today, robots in factories are still mostly one-trick ponies. Programmed for repetitive motions in choreographed settings, repeatedly making the same weld in the same spot on an assembly line or dropping the same item into the same box.

AI allows robots to learn new things.

Soon, the same robot that unloads trucks in the morning could help assemble products in the afternoon and organize inventory at night. We're moving from single-purpose machines to versatile helpers that can understand and follow instructions.

For decades, American manufacturing has lost out to countries with cheaper labor. But AI changes the math. Now, robots can work 24/7, never get tired, and can learn new tasks overnight.

Suddenly, America's advantages—cheap energy, strong infrastructure, and AI expertise—matter more than low wages.

Picture a handful of people overseeing thousands of robots running a factory. Now, imagine if America were full of these factories. We could produce 1,000X more stuff for a fraction of today's costs. When THAT happens (it's already started), it could create trillions of dollars in wealth.

Remember the old dream of “Made in USA”? It's felt like a nostalgic slogan.

Take phones. A company called Purism created a fully “Made in USA” phone. Great idea, but it costs \$1,600... and you can get an equivalent Android phone for \$300. That’s the old math. With AI-powered robots, we can change that equation.

It’s no exaggeration to say self-learning robots can reindustrialize America. They can turn “Made in America” from a feel-good slogan into a badge of *cutting-edge innovation*.

This will be one of the biggest investment opportunities in the next decade. And it’s only getting started.

If you want to see the future, step inside an Ocado warehouse in the UK. Hundreds of robots zip around a 3D grid at mind-bending speeds, fetching groceries for online orders.

These aren’t just fancy conveyor belts. They’re AI-powered machines that can recognize, grab, and pack items as carefully as human hands.

Amazon (AMZN) is America’s largest “robo employer,” with an army of 750,000 bots. But again, most of these are narrow specialists. Now, it’s building a new “Sequoia” automation system that slashes order processing times by 25% and spots inventory 75% faster.

AI allows robots to handle *variety* and *complexity* like never before. It’s also unleashing a wave of disruption that will create new winners and sink losers.

Look at the story of how a group of scrappy kids trumped **Boeing (BA)**, for example.

In an anti-drone competition hosted by the Canadian military, Boeing showcased a futuristic laser weapon that blew a hole straight through an energy drone.

But the corporate giant lost to four college students who knocked drones out of the sky with a device built in a parent’s backyard using sound waves from an old car speaker.

AI + robotics means innovation can come from anywhere, accelerating the pace of breakthroughs.

The robots are coming, and they’re creating a whole new world of investing opportunities. This is the year the physical AI revolution truly begins.

“Made in America” won’t be old, smoky factories. It will be clean, high-tech facilities running on AI and staffed by skilled tech workers managing robot teams.

And there’s one company that’s leading America’s manufacturing revival.

Here’s Chris with the details...

The solution to America's warehouse crisis

Imagine walking into a working warehouse the size of 17 football fields.

In addition to its sheer size, you'd probably be in awe of the number of people it needs to function.

You'd see armies of workers unloading and loading trucks... operating forklifts... sorting products... counting and verifying stock levels... checking products for damage... building pallets... servicing equipment, etc.

Behind all this highly visible activity, you'd find office staff coordinating deliveries, planning worker schedules, managing inventory levels, and constantly adjusting plans to handle unexpected situations like late deliveries, product shortages, equipment breakdowns, and worker absences.

Combined, you'd find about 1,000 people working in one of these facilities. That translates into an annual labor cost of about \$50 million.

But what if there was a tech solution that allowed this enormous warehouse to cut its labor cost in half while doubling the amount of products it can process?

So, twice as much stuff... with half the workers.

Implementing a solution like that would be a no-brainer for any big retailer.

And that's exactly what the solution from a company called **Symbotic (SYM)** is doing for **Walmart (WMT)**—the world's largest retailer (and largest company overall in terms of revenue).

Walmart's CFO says that when the company automates one of its massive Regional Distribution Centers (RDCs) with Symbotic's technology, it sees "**roughly twice the throughput with half the headcount.**"

That alone makes Symbotic a compelling investment opportunity.

But to understand *how* compelling Symbotic really is, I (Chris) need to take you back to its origins.

[Note: If you've been with RiskHedge long, you may recognize the following recommendation as a former *Disruption Investor* holding. We exited it last spring because it wasn't performing up to our standards.

But, as you'll read, its new deal with Walmart is a gamechanger that will turbocharge growth for years to come. We forecast 50% annual revenue growth for the next few years, which would put it in the same company as Amazon, **Netflix (NFLX)**, and some of history's greatest 10-baggers.]

It all starts with a guy named Rick Cohen.

Cohen joined his family's wholesale grocery business fresh out of college in 1974.

His grandfather started C&S Wholesale Grocers in 1918 with Abraham Siegel. Named for its founders, C&S operated out of a small brick warehouse. It sold groceries wholesale to stores in the area surrounding Worcester, Massachusetts.

Cohen's grandfather bought out Siegel in 1921, but the name stuck.

His father, Lester, joined C&S in 1955 and ran it for two decades.

C&S grew slowly but steadily under Lester. When Cohen joined the business in 1974, it generated about \$50 million in annual revenue.

But, as Cohen says, "I didn't do enough due diligence on my family business, and I found out that we actually weren't making any money."

He wanted to change that.

That's easier said than done in the low-margin grocery wholesale business.

So Cohen focused on leveraging technology to automate as much as possible and become ultra-efficient. He created the world's first warehouse management software system in 1989.

This software streamlined C&S's business. It allowed the company to cut operating costs by 50% and produce big profits.

"The workforce became much more productive. It was a huge disruption," Cohen says.

The next year, Cohen bought out his father's and brother's stakes in C&S. And he was able to aggressively grow the business in the following years because costs were so low thanks to its tech.

The company added about a billion dollars in sales each year for the next 25 years or so. Today, C&S is the eighth-largest private company in the US, with annual revenue of about \$35 billion. And Cohen—who still owns the company—is a multibillionaire.

In his quest to make C&S more efficient, Cohen became obsessed with warehouse automation. So he started working with robotics in the early 1990s.

This led to the creation of Symbotic, which Cohen founded in 2007 and named for the symbiotic relationship between warehousing and robotics.

From 2007 through 2020, Cohen invested about \$700 million of his own money into Symbotic and created an AI-powered automated robotic warehouse platform.

Cohen's big investments came at just the right time... as the US is facing a growing warehouse labor shortage.

About 100 million Americans quit their jobs during the "Great Resignation" of 2021 and 2022. The ripple effects of this mass exodus are still being felt. And the labor force participation rate in the US remains below pre-pandemic levels.

Add to that the demographic shifts of an aging population—further reducing the pool of workers willing and able to perform traditional warehouse work—and what you're left with is an ongoing shortage of workers in the US that will continue for years.

Ash Sharma, vice president of research for Robotics & Warehouse Automation at market intelligence firm Interact Analysis, says: "The new generation wants to work in offices and in computing. They don't want to be working in warehouses—it's dirty, it's tiring, it's monotonous, it's not a lot of fun."

It's no wonder a recent survey from logistics and supply chain software provider Descartes Systems Group found that 76% of supply chain and logistics leaders are experiencing notable workforce shortages, with 37% of respondents characterizing the shortage as high to extreme.

Meanwhile, the American Staffing Association expects warehouse and transportation job openings to increase from 1.7 million in 2024 to 2.1 million by 2030.

The only solution to this problem is automation.

That's where Symbotic comes in...

Bringing AI into the real world

Symbotic is leading the charge in warehouse automation with its patented AI-powered robotic systems.

Imagine a highly choreographed dance where different types of robots work together to store and retrieve items in a warehouse with incredible efficiency. Symbotic's AI controls fleets of robots as they speed around warehouses, pick up items, and organize them in the most efficient way possible.

The tech is extremely complex. But what it accomplishes is straightforward.

When products arrive at a Symbotic-equipped facility, the transformation from human-centric to AI-driven operations begins immediately.

Instead of teams of workers unloading trucks by hand, AI-powered robotic arms take center stage. They use computer vision to analyze each incoming pallet to determine the best way to deconstruct it.

These de-palletizing robots lift and move multiple cases simultaneously with perfect precision. They then feed the cases to "singulating" robots that separate and orient each one for optimal handling within the system. It's like having a team of super strong expert product handlers who never tire or make mistakes.

As products enter the system, they pass through the “scan tunnel.” This is where the AI really starts to shine. It uses advanced sensors and cameras to create a detailed digital profile of each case—its dimensions, weight, structural integrity, and handling characteristics—so it has a perfect three-dimensional understanding of every product it needs to manage.

If a case is damaged or doesn’t meet specifications, the system rejects it and automatically routes it for human inspection.

Symbolic’s storage structure—where products are placed, stored, and retrieved—really highlights the revolutionary nature of its technology.

Unlike traditional warehouses with wide aisles and high ceilings for human operators, Symbolic’s warehouses look more like a dense honeycomb that uses 30% to 60% less space. Products are stored just millimeters apart, using space that would be impossible for human workers to access.

The storage structure typically contains 10 levels in a 32-foot-tall space, creating a 3D grid that maximizes every cubic inch of warehouse space.

Within this dense storage structure, autonomous robots called “Symbots” move with extraordinary speed and precision. These Symbots are more like smart mini-race trucks than traditional warehouse equipment. They can accelerate to 25 mph and make turns and stops with millimeter-level accuracy.

Each Symbot uses a unique bottom-lift technology to handle cases, gently sliding underneath products rather than gripping them from the sides. This allows them to handle a much wider variety of package types without damaging them.

The AI orchestrates every movement of the Symbots, constantly optimizing routes and tasks. If one bot needs maintenance, others seamlessly take over its duties.

The bots even handle their own power needs and require no charging downtime. They receive quick-burst charges from ultracapacitors they drive over as they move products around.

When it’s time to pack products for shipment, robotic arms work together—considering factors like product weight, crush risk, and store layout—to build perfect pallets with 50% greater density, on average, and they do it 3X to 4X faster than other systems. The denser pallets make better use of space in trucks. This reduces the number of loads needed, which cuts transportation costs.

The system can even build store- and aisle-specific pallets where it arranges products in the exact order they’ll be needed on the retail floor, dramatically reducing the labor required at stores.

And the AI learns, adapts, and improves over time.

The result is a warehouse that operates more like a living organism than a traditional facility. Products flow continuously through the system, with robots working in perfect harmony to receive, store, retrieve, and ship goods.

The entire operation requires only a fraction of the human workers needed in a traditional facility, and those workers focus on higher-level tasks like system monitoring and exception handling rather than physical labor.

Symbotic's system fundamentally changes what's possible in terms of warehouse operations and efficiency. It operates 24/7 and achieves accuracy rates that are impossible for human workers.

It's like the difference between a horse-drawn carriage and a self-driving car. It's not just an improvement in speed and efficiency, but a complete reimagining of how the work gets done.

What's more, these warehouse automation systems are modular. They can be as small as a single football field serving a couple dozen stores. They can scale up to meet the needs of the world's largest retailers. And they can be installed in active warehouses with limited interruption to ongoing operations.

Each \$50 million module saves customers \$10 million a year for the entire 25- to 30-year life of the system thanks to greater efficiency, reduced labor costs, and improved inventory management. That's \$250 million to \$300 million in savings over the life of each module.

It's no wonder Symbotic struck a game-changing deal with Walmart to automate all 42 of its massive RDCs in the US to support its 4,600 stores over the next several years.

That's an enormous book of business. And it accounts for about half of Symbotic's \$22.4 billion backlog.

Backlog is basically the dollar value of contracted orders from customers that haven't been delivered yet. Symbotic recognizes revenue from this backlog as the company makes progress on (and eventually completes) these orders.

Three more things to know about Symbotic's backlog:

1. It's mostly structured on a cost-plus fixed profit basis. This allows Symbotic to maintain its gross profit margins even in times of high inflation or supply chain-related price increases. In most cases, for example, increases in computer chip or steel prices get passed on to Symbotic's customers, preserving its gross profit.
2. The contracts are ironclad. There are **no** termination for convenience clauses. For the most part, the only way backlog won't turn into revenue is if Symbotic doesn't deliver the systems ordered at its defined performance standards, which is unlikely.

What's more, because these systems cut customers' costs and boost their efficiency so much, they have no reason to try to back out of the deals in the first place. So Symbotic's customers are extremely "sticky" and loyal.

3. Over the next year, Symbotic should convert about 11% of that \$22.4 billion backlog into revenue. That works out to about \$2.5 billion in backlog that will be recognized as revenue this year.

I mentioned earlier that Walmart's CFO says the company achieves about "twice the throughput with half the headcount" when Symbotic automates one of its RDCs.

That's a 4X efficiency gain, which will translate into higher profit margins as Symbotic automates all 42 Walmart RDCs over the next 5–7 years.

What's more, distribution center capacity has increased so much from Symbotic's automation that Walmart now has space to support third-party sellers and generate even more revenue through warehousing and fulfillment services.

Walmart plans to add \$130 billion in sales over the next five years without adding to its headcount. And the only reason it can make such a plan is because of all the benefits it receives from Symbotic's automation tech.

Cohen's other company, C&S—the largest wholesale grocery distributor in the US—is also a Symbotic customer.

As is **Albertsons Companies (ACI)**, one of the biggest supermarket chains in the US...

United Natural Foods (UNFI), which is Whole Foods Market's main supplier...

Target (TGT), the seventh-largest retailer in the world...

...and Associated Food Stores, which supplies about 500 independently owned grocery stores west of the Mississippi.

And that's just the beginning.

Today, Symbotic has 10 customers. The company's completed 29 of its warehouse automation systems for these customers and has another 44 systems in various stages of deployment.

But there are thousands of warehouses and distribution centers all over the US, Canada, and Europe that would benefit from Symbotic's tech. And I expect the company to automate more and more of these facilities over the coming years.

These three markets combined provide Symbotic with about \$430 billion in potential revenue from one-time system sales in operator-owned warehouses.

Speaking of revenue, Symbotic reported \$486.69 million in the most recent quarter. That was good for year-over-year growth of 35.2%.

I expect continued robust revenue growth for many years as Symbotic delivers on its backlog, adds new customers, and capitalizes on its recent acquisition of Walmart's robotics business and its GreenBox joint venture.

On January 28, 2025, Symbotic announced the acquisition of Walmart's Advanced Systems and Robotics business and a new commercial agreement with the retail king.

I'll talk about the financial impacts from these deals in just a bit. First, I want to talk to you about how they affect Symbotic more broadly from a business perspective.

See, Walmart's robotics business was trying to develop automated Accelerated Pickup and Delivery (APD) centers at its stores.

APDs are online pickup and delivery centers occupying a space in the back of a store. Across three temperature zones, they store tens of thousands of items that can be picked by robots to fulfill online customer orders for pickup or last-mile delivery.

But Walmart doesn't have the AI and robotics chops that Symbotic does. So, Walmart approached its close partner last year to see if Symbotic could enhance what it had already built.

This is a transformative deal for Symbotic because it extends its automation technology downstream from the massive distribution center to the store level to fulfill the growing number of e-commerce orders for customer pickup and last-mile delivery.

It also gives Symbotic the industry's broadest portfolio of supply chain automation solutions while deepening its relationship with Walmart.

And it allows Walmart to leverage the company's long history with Symbotic to accelerate the expansion of its APD capabilities.

The net effect of these deals is so positive for Symbotic, it's more like a gift from Walmart.

Symbotic is paying Walmart \$200 million when the acquisition closes with up to an additional \$350 million in future payments contingent upon the number of new systems Walmart orders.

But for the new commercial agreement, Walmart is paying Symbotic \$520 million in fees (\$230 million at closing and another \$290 million over the next two years) to fund the research and development of the automation system for the APDs.

These systems are going to look like a miniaturized version of Symbotic's warehouse automation system.

After this development phase, Walmart has committed to buying 400 of these automation systems from Symbotic. **That will add another \$5 billion to Symbotic's already enormous \$22.4 billion backlog.**

Walmart also has the option to purchase an additional 200 APD systems from Symbotic.

For each APD, Walmart will pay Symbotic:

- The cost of implementation, including the cost of material and labor, plus a specified net profit amount.

- Recurring amounts for software maintenance and support.
- For spare parts and other miscellaneous expenses.

The GreenBox joint venture (JV) I mentioned earlier will provide Symbotic's AI-powered warehouse automation tech as a service across its warehouse network for a recurring fee.

It's a great option for the thousands of smaller potential customers who can't afford to spend \$50 million or more to install their own Symbotic system.

So GreenBox is a "warehouse-as-a-service" business. Symbotic owns 35% of the JV, and the multinational investment holding company **SoftBank Group (SFTBY)** owns the other 65%.

Orders from GreenBox have already added \$11 billion to Symbotic's backlog.

Symbotic's path to profits

Symbotic generated revenue of \$1.91 billion over the past year, which reflected extremely robust 44% growth from the year before.

I think the company's just getting started.

The labor shortage problem is creating a trillion-dollar opportunity for AI-powered warehouse automation. Symbotic provides the best solutions for the biggest efficiency gains.

I expect these dynamics to drive strong revenue growth for years to come.

The only thing holding Symbotic back is the time it takes to deploy each warehouse automation system. That's about 24 months today, on average.

But I think the company can shrink that average to 12 months—and thus accelerate revenue growth—over the next three years.

That will be possible because Symbotic's been adding significant expertise to its team—including a robotics and AI expert from **Google (GOOG)** as the new CTO—and bringing more of the deployment work in house (allowing for more control and better efficiencies) for over a year already.

What's more, deployment time for the miniaturized APD system will naturally be a lot shorter than for the massive warehouse systems. This will further juice revenue growth when the new commercial agreement with Walmart starts to bear real fruit in a couple years.

And don't forget about GreenBox. I expect significant revenue to start to roll in from the JV next year.

When you put it all together, Symbotic can potentially grow revenue at a compound annual rate of 50% for the next few years. But it will take some time to accelerate. Growth will be stronger in the second half of 2025 than the first. And it will accelerate from there in 2026 and 2027.

Using my forecasted 50% growth rate, which could prove conservative, I calculate a GARP Quotient of 0.15. That's firmly in the "extremely promising" tier we talked about in [The Growth Stock Anomaly special report](#).

In terms of profitability, Symbotic is well on its way. It generated positive cash flow from operations of \$177 million over the past year.

Free cash flow—after deducting \$48.7 million worth of CapEx—was \$128.4 million.

And I expect the company to reach net income breakeven no later than fiscal 2026.

In the meantime, Symbotic has a substantial buffer of \$903 million in cash to continue to invest in growth opportunities as it makes its way toward profitability.

One final thing...

You may come across work by other analysts making the claim that because Walmart currently accounts for about 85% of Symbotic's revenue, this "customer concentration" adds risk to the stock... because that's what you learn in business school.

But I'd argue that folks making such a claim haven't really thought things through and are just regurgitating what they learned in school.

Symbotic's close relationship with Walmart actually makes the stock *less* risky.

Think about it...

Walmart—the world's largest company by revenue—relies on Symbotic to 4X the efficiency of its regional distribution centers. And it's about to start relying on Symbotic to boost the efficiency of hundreds (and eventually thousands) of its stores with automated APDs.

There's absolutely no reason for Walmart to shoot itself in the foot by trying to disrupt the progress of these engagements in any way. That's because Symbotic's tech saves Walmart billions and boosts its profit margins.

In other words, Walmart needs Symbotic just as much as Symbotic needs Walmart.

Meanwhile, Walmart's locked into these deals with long-term contracts that can't be broken unless Symbotic fails to deliver. That's highly unlikely, in my view.

So the close relationship with Walmart actually de-risks Symbotic and virtually guarantees billions upon billions in revenue over the coming years.

Action to take: Buy Symbotic (SYM) at current market prices. Set a 70% hard stop.

America's fastest-growing stocks

In this monthly feature, we share data from our proprietary AI about America's fastest-growing stocks.

In the table below, we share 25 of the fastest-growing stocks in America that fit our *Disruption_X* size criteria. As a reminder, the stocks we're targeting have a market cap between \$200 million and \$20 billion.

Future recommendations may come from this list. It also gives us great insight into what's growing fast and—just as important—what's not. A stock riding on pure hype can't make this list because it requires real, bona fide revenue growth.

Note these stocks trade on American exchanges. They aren't necessarily American companies.

We also include their raw GARP Quotient based on their most recent quarterly revenue, to give an idea of how fairly valued they are.

Observations this month:

- Fewer Argentinian and crypto stocks than last month.
- More industrial stocks are growing rapidly. These companies make actual stuff—like satellites, weapons, and cars—as opposed to just software. Real-world innovation!
- Speaking of cars... electric vehicle (EV) makers and their suppliers are climbing our rankings. **Zeekr (ZK)** and **Lucid Group (LCID)** make EVs. **Eos Energy Enterprises (EOSE)** is a key player in battery technology. **MicroVision (MVIS)** brings advanced LiDAR systems for autonomous driving.

A few fast-growing stocks that have our attention:

Intuitive Machines (LUNR)—A space stock. Did you know America sent a spacecraft to the Moon for the first time in 50 years last year? LUNR made the machine that landed on the Moon, called Odysseus. The company's revenue has grown 134% in the last 12 months.

Acacia Research (ACTG)—A patent enforcer. Acacia grew revenue 131% from last year by monetizing intellectual property in AI, semiconductors, and wireless tech.

MicroVision (MVIS)—AI-powered vision. LiDAR isn't just for self-driving cars. MicroVision's cutting-edge sensors are enabling AI-driven automation, robotics, and smart cities. With accelerating growth, it's carving out a niche in the next industrial revolution.

This month's list also highlights a diverse mix of disruptors—from entertainment and e-commerce to energy storage. High-growth opportunities abound.

Fastest-growing stocks in America							
Rank	Ticker	Name	Description	Mkt cap (in bln)	Stock Price	Revenue Growth	GARP Quotient
1	SATS	EchoStar Corporation	Satellites	\$7.34	\$27.00	877%	<0.00
2	EH	EHang Holdings Limited	Chinese drones	\$0.98	\$15.55	216%	0.50
3	CRESW	Cresud SACIF y A	Argentinian	\$0.57	\$0.95	187%	<0.00
4	FUFUW	BitFuFu Inc.	Bitcoin miner	\$0.85	\$0.51	174%	1.80
5	IRS	IRSA	Argentinian	\$1.26	\$14.71	167%	<0.00
6	ACTG	Acacia Research Corporation	Patent defense	\$0.43	\$4.39	167%	1.80
7	MVIS	MicroVision, Inc.	Lidar technology	\$0.32	\$1.44	155%	149.50
8	FBYD	Falcon's Beyond Global, Inc.	Entertainment	\$0.85	\$5.55	135%	N/A
9	ZK	ZEEKR	Chinese Evs	\$6.31	\$25.49	125%	0.10
10	CRESY	Cresud	Argentinian	\$0.82	\$12.09	121%	<0.00
11	CLSK	CleanSpark, Inc.	Bitcoin miner	\$3.47	\$11.87	107%	4.50
12	HLMN	Hillman Solutions Corp.	Hardware company	\$1.97	\$10.00	101%	0.40
13	TEO	Telecom Argentina S.A.	Argentinian	\$6.17	\$12.07	100%	<0.00
14	LUNR	Intuitive Machines, Inc.	Space technology	\$1.67	\$18.51	93%	5.30
15	LCID	Lucid Group, Inc.	EV manufacturer	\$9.25	\$3.07	89%	232.00
16	SMCI	Super Micro Computer, Inc.	Computer infrastructure	\$18.05	\$30.82	86%	0.80
17	MSC	Studio City	Chinese casino	\$0.87	\$4.50	85%	1.20
18	HEPS	D-Market Elektronik	Turkish e-commerce	\$0.98	\$3.14	78%	<0.00
19	EOSE	Eos Energy Enterprises, Inc.	Advanced batteries	\$1.31	\$6.02	75%	1888.00
20	SOUN	SoundHound AI, Inc.	AI voice recognition	\$5.04	\$13.64	73%	66.10
21	BYRN	Byrna Technologies Inc.	Non-lethal weapons	\$0.66	\$29.40	73%	5.80
22	MSGE	Madison Square Garden	Entertainment	\$1.74	\$35.96	72%	10.80

Fastest-growing stocks in America							
Rank	Ticker	Name	Description	Mkt cap (in bln)	Stock Price	Revenue Growth	GARP Quotient
23	FUN	Six Flags Entertainment	Entertainment	\$4.45	\$44.38	70%	2.50
24	ASPN	Aspen Aerogels, Inc.	Battery tech	\$1.04	\$12.72	66%	2.40
25	TKO	TKO Group Holdings, Inc.	Entertainment	\$11.55	\$142.20	66%	3.90

For the most up-to-date guidance on our current positions, [click here](#) to view the portfolio online.

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